

Natixis's \$193M Miami Loan Shows Construction Debt Is Open Only for the Right Sponsor and Basis

LCOR's first South Florida project gets funded because the site was bought before the rate shock and the sponsor has balance sheet depth.

The most important number in LCOR's \$192.5 million construction loan from Natixis is not the loan amount. It is the land basis. LCOR bought the 1-acre site at 1775 Biscayne Boulevard for \$49 million in 2022. That was before the Federal Reserve's rate campaign compressed development feasibility across the country. That basis gives the project a structural advantage that most new multifamily starts in Miami cannot match.

The loan from the New York branch of the French bank Natixis will fund a 42-story tower with 544 apartments, 50,000 square feet of amenity space, 449 parking spots, and roughly 10,000 square feet of ground-floor retail. Completion is scheduled for the fourth quarter of 2028. The project is LCOR's first development in South Florida. Construction debt has not disappeared. It has become hyper-selective.

Lenders are not underwriting pro forma rent growth or aspirational exit cap rates. They are underwriting the sponsor's ability to absorb cost overruns, the site's basis relative to replacement cost, and the depth of demand in the submarket. Miami's Edgewater neighborhood, adjacent to the Arts & Entertainment District and Margaret Pace Park, offers the demand piece. Miami's 96.4 percent apartment occupancy, per a 2025 RentCafe report, supports the thesis.

But occupancy alone does not get a \$192.5 million construction loan approved. The land basis does. At \$49 million for 1 acre, LCOR's land cost is roughly \$90,000 per unit. That is low for a high-rise site in one of the most competitive rental markets in the country. A developer buying that site today would likely pay 30 to 50 percent more, assuming the site were even available.

That higher basis would require higher rents, lower leverage, or thinner returns to pencil out. In a market where construction financing requires equity contributions of 40 to 50 percent of total project cost, a low land basis is not a minor advantage. It is the difference between a project that gets funded and one that sits. Natixis is not taking development risk on a speculative basis.

It is lending into a project where the sponsor has already absorbed the land cost, the site is in a proven submarket, and the capital stack has room to absorb construction cost inflation without breaking the underwriting. The French bank has been active in U.S. commercial real estate debt, but selectively. This loan fits the pattern: large, well-located, institutionally sponsored, and structured with enough equity cushion to survive delays or cost overruns.

Who benefits? LCOR gains a foothold in South Florida with a project that has a cost basis its competitors cannot replicate. Natixis earns a construction loan yield on a deal where the downside is protected by the sponsor's equity and the land value. IPA Capital Markets, which arranged the transaction, collects a fee and demonstrates that construction debt placement is still viable for the right assignments. Who is exposed?

Developers who bought sites in 2023 or 2024 at peak pricing and are now trying to secure construction financing. Their basis is higher, their equity requirement is larger, and their lender pool is narrower. They are competing against projects like 1775 Biscayne that were conceived before the rate cycle turned.

The market should watch whether Natixis and other active construction lenders-primarily foreign banks, some regional lenders, and a handful of private credit funds-maintain this selectivity or broaden their appetite as the rate outlook stabilizes. If the Fed holds or cuts later this year, the window for new construction starts may open slightly wider. But the basis advantage will persist. Projects bought cheap in 2021 and 2022 will continue to get financed.

Projects bought expensive will wait.
Construction debt is not closed. It is
rationed. And the rationing is decided by
the date on the land purchase contract.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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